

Taiwan Semiconductor Manufacturing

Raising capex and US expansion plans to strengthen supply leadership

TSMC's higher capex strategic and essential to capture Cloud AI opportunities

The key highlight of the Q226 earnings conference was the more optimistic guidance on capex. TSMC lifted 2026 capex from US\$54-56bn to US\$60-64bn, in line with our preview of US\$60bn but a surprise to most investors. We believe TSMC has pulled in N3/N2 tools and accelerated new fab construction, indicating optimism about sustainability of Cloud AI demand. TSMC also added US\$100bn in capex to bring its US investment total to US\$265bn. TSMC's stronger commitment to capacity expansion in the US and Taiwan should assure clients about future supply and ease customers seeking capacity support from Intel and Samsung Foundry, in our view. The higher capex could be partly related to equipment cost inflation, as flagged by UBS's [US Semis team](#). We raise 2026E capex to US\$63bn and retain 2027/28E capex of US\$80bn/95bn.

Stronger sales growth in 2026E and beyond led by Cloud AI

TSMC raised 2026 sales growth guidance (in US\$) to slightly over 40% from >30%, and above recent investor expectations of mid to high 30% growth. The upside is driven by Cloud AI, with HPC sales up 20% QoQ in Q2 (or 66% of sales) with consumer electronics demand challenged by macro and cost inflation. Q3 sales is guided to rise 12% QoQ at the mid point, in line with our preview and recent market expectations. We raise 2026E sales growth (in US\$) from 37% to 41%, and forecast 40%/31% growth in 2027/28 (vs. consensus of 30%/24% pre earnings), underpinned by TSMC's higher capex and larger addressable Cloud AI market.

We expect a steadier GM trend in H226E and 2027E

Q2 gross margin came in at 67.7%, at the high end of guidance but likely slightly below the elevated expectations into earnings. Q3 gross margin is guided at 65.0-67.0%, pressured by a 3-4% headwind from the sharp initial 2nm ramp. We reiterate that GM's trajectory in upcoming quarters is the key, which should hold up through H226-27E due to improving scale, product mix and mild price rises from Q127, in our view, to offset the N2 dilution, overseas expansion and cost inflation. We forecast TSMC to hike leading edge prices 5-10% and mature nodes c5% in early 2027, and forecast gross margin at 67.1% in H226 and 67.5% in 2027.

Valuation: reiterate Buy rating, raise target to NT\$3,650 from NT\$3,400

We raise 2026/27/28E EPS 9%/7%/9% and our PT to NT\$3,650, based on 21x 2027-28E PE supported by a 25% 2027-30E earnings CAGR. With a wider valuation gap between TSMC (16.6x 2027E PE) and other AI-related stocks (ASE: 23.3x; Aspeed: 41.8x), we expect TSMC shares to perform steadily post this earnings, as the higher capex would support a sustained strong sales growth outlook. YTD, TSMC has rallied 59% vs. ASE/Aspeed's 172%/111%.

Equities

Taiwan
Semiconductors

12-month rating **Buy**

12m price target **NT\$3,650.00**

Prior : NT\$3,400

Price (16 Jul 2026) **NT\$2,470**

RIC: 2330.TW BBG: 2330 TT

Trading data and key metrics

52-wk range	NT\$2,510.00-1,125.00
Market cap.	NT\$64,053b/US\$1,989b
Shares o/s	25,933m (ORD)
Free float	87%
Avg. daily volume ('000)	41,144
Avg. daily value (m)	NT\$94,839.9
Common s/h equity (12/26E)	NT\$7603b
P/BV (12/26E)	8.4x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (NT\$)

	From	To	% ch	Cons.
12/26E	99.84	108.96	9	100.23
12/27E	139.27	149.14	7	130.32
12/28E	182.04	198.23	9	165.91

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Highlights (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	2,161,736	2,894,308	3,809,054	5,465,875	7,676,827	10,044,566	12,203,503	14,797,084
EBIT (UBS)	921,466	1,322,053	1,936,092	3,231,064	4,556,077	6,035,870	7,222,618	8,798,921
Net earnings (UBS)	838,498	1,173,268	1,717,883	2,825,270	3,867,318	5,140,175	6,199,840	7,616,825
EPS (UBS, diluted) (NT\$)	32.34	45.24	66.24	108.96	149.14	198.23	239.09	293.74
DPS (net) (NT\$)	13.00	17.00	22.00	29.50	40.50	53.00	66.00	76.00
Net (debt) / cash	764,451	1,435,557	2,075,442	2,736,425	3,876,401	5,711,643	8,578,413	12,888,687
Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	42.6	45.7	50.8	59.1	59.3	60.1	59.2	59.5
ROIC (EBIT) %	38.6	49.6	65.1	81.9	82.0	81.0	77.6	81.1
EV/EBITDA (UBS core) x	9.1	11.0	10.8	15.2	10.8	8.0	6.3	4.9
P/E (UBS, diluted) x	16.8	19.7	17.6	22.7	16.6	12.5	10.3	8.4
Equity FCF (UBS) yield %	2.1	3.8	3.3	1.7	2.9	4.5	6.6	9.3
Dividend yield (net) %	2.4	1.9	1.9	1.2	1.6	2.1	2.7	3.1

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT\$ 2,470.00 on 16-Jul-2026 19:57:52 CST

UBSResearch THESIS MAP a guide to our thinking and what’s where in this report

PIVOTAL QUESTIONS

Q: Will TSMC sustain strong AI-driven 2025 revenue growth in 2026 and beyond?

Yes. We forecast TSMC’s revenue (in US\$ terms) to rise 41%/40% in 2026/27. TSMC started ramping N2 in late 2025, which we believe would be a large node with reacceleration of process migration across smartphones and PCs and higher upside from high-performance compute. We think TSMC could convert more N5 capacity to N3 in 2026E, indicating robust demand from AI accelerators in the next two years.

Q: Can TSMC maintain profitability in 2026 and beyond?

Yes. GM headwinds from the N2 ramp and overseas expansion in 2026 should be manageable, and we forecast GM to rise from 59.9% in 2025 to 67.1%. Supporting factors include: 1) price hikes; 2) improving N3 GM; and 3) overall mix enhancements. GM should be stable at 67.5% in 2027E, as TSMC’s scale and mix improve and offset dilution from N2 and overseas expansion.

UBSVIEW

We expect TSMC to maintain its strong position as a leading edge foundry with an over 80% market share in the next three to four years. We base this on robust execution, a clear technology roadmap and close collaboration with its largest customers in smartphones, PCs, and servers. The N2 ramp from late 2025 should be a multi-year growth opportunity based on higher wafer prices. Development of Cloud AI allows TSMC to create more value via its superior production capability in large size AI accelerators, which competitors find difficult to replicate. TSMC’s advanced packaging technology enhances the moat, given the rising importance of system integration for compute chips, high bandwidth memory (HBMs), power devices and optics.

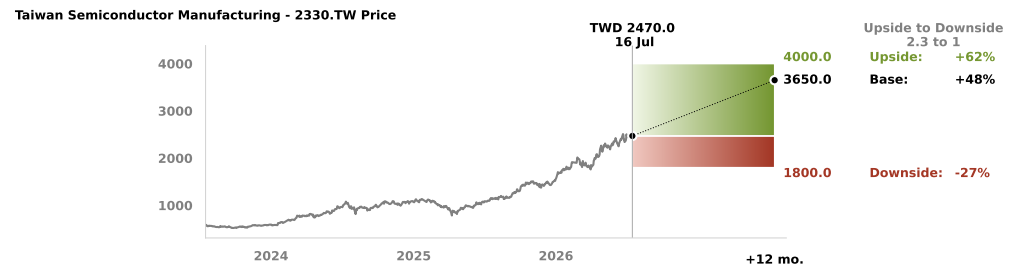
EVIDENCE

At the July 2026 earnings call, TSMC raised 2026 sales growth guidance to slightly over 40% and 2026 capex to US\$60-64bn from US\$54-56bn, driven by stronger Cloud AI demand.

WHAT’S PRICED IN?

TSMC trades at 16.6x 2027E PE, a discount to the SOX index at 27.4x PE, reflecting investor concerns about geopolitical uncertainty and rising competition from Intel, Samsung Foundry, and Terafab.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027/28E)	Wafer ASP growth	Utilisation rate	Gross margin
NT\$4,000.00 upside	19%/22%	111%/118%	69.0%/70.5%
NT\$3,650.00 base	16%/19%	109%/115%	67.5%/68.1%
NT\$1,800.00 downside	8%/8%	95%/101%	63.5%/64.1%

Source: UBS estimates

COMPANY DESCRIPTION

Taiwan Semiconductor Manufacturing (TSMC) is the world's leading dedicated foundry... [more](#)

Earnings forecasts

Figure 1: TSMC's operating data

	Q126	Q226E	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E	2023	2024	2025	2026E	2027E	2028E
Capacity (WPQ/Y, kpcs 8" eq.)	10,495	10,663	10,663	10,798	10,927	11,128	11,230	11,398	36,849	38,233	40,528	42,620	44,683	46,640
Sequential change (%)	0%	2%	0%	1%	1%	2%	1%	2%	6%	4%	6%	5%	5%	4%
Shipment (WPQ/Y, kpcs 8" eq.)	9,392	9,756	10,390	10,919	11,264	12,022	12,577	12,711	27,005	29,050	33,802	40,456	48,573	53,426
Sequential change (%)	5%	4%	6%	5%	3%	7%	5%	1%	-21%	8%	16%	20%	20%	10%
Utilization rate (%)	89%	91%	97%	101%	103%	108%	112%	112%	73%	76%	83%	95%	109%	115%
ASP (US\$)	3,263	3,487	3,716	3,889	3,921	4,041	4,249	4,456	2,235	2,694	3,112	3,602	4,176	4,958
Sequential change (%)	0%	7%	7%	5%	1%	3%	5%	5%	14.8%	20.5%	15.5%	15.7%	15.9%	18.7%
FX rate (NT\$)	31.6	31.6	32.0	32.0	32.0	32.0	32.0	32.0	31.2	32.1	31.1	31.8	32.0	32.0
Other Revenue (NT\$m)	165,991	195,504	222,377	244,615	254,399	279,839	316,374	335,356	279,218	379,846	536,501	828,487	1,185,969	1,568,139
Total Revenue (NT\$m)	1,134,103	1,270,381	1,457,805	1,603,586	1,667,729	1,834,502	2,026,503	2,148,093	2,161,736	2,894,308	3,809,054	5,465,875	7,676,827	10,044,566
Sequential change (%)	8%	12%	15%	10%	4%	10%	10%	6%	-5%	34%	32%	43%	40%	31%
Capex (US\$m)	11,046	15,691	15,651	20,553	20,000	20,000	20,000	20,000	30,425	29,760	40,739	63,000	80,000	95,000
Capex/revenue (%)	31%	39%	34%	41%	38%	35%	32%	30%	44%	33%	33%	37%	33%	30%
Depreciation (NT\$m)	5,237	6,283	6,875	7,124	7,480	8,074	8,600	9,027	16,631	20,712	21,503	25,374	33,181	43,476
Gross margin (%)	66.2%	67.7%	67.0%	67.2%	67.3%	67.5%	67.6%	67.5%	54.4%	56.1%	59.9%	67.1%	67.5%	68.1%
Operating margin (%)	58.1%	60.3%	58.9%	59.1%	59.4%	59.5%	59.3%	59.3%	42.6%	45.7%	50.8%	59.1%	59.3%	60%

Source: Company data, UBS estimates

Figure 2: Q226 earnings comparison

(NT\$m)	Actual	Guidance (FX: NT\$31.7/US\$)	Q226					Q126		Q225	
			VA	Diff. vs VA	LSEG	Diff. vs LSEG	UBSe	Actual	QoQ	Actual	YoY
Revenue	1,270,381	NT\$1236.30-1274.34bn	1,267,975	0%	1,254,409	1%	1,273,340	1,134,103	12%	933,792	36%
Revenue (US\$m)	40,201	US\$39.0-40.2bn	40,125	0%		n.m.	40,168	35,898	12%	30,070	34%
Gross profit	860,311		853,439	1%	823,257	5%	857,112	751,295	15%	547,369	57%
- Gross margin	67.7%	65.5-67.5%	67.3%	41bps	65.6%	209bps	67.3%	66.2%	147bps	58.6%	910bps
Operating profit	766,603		743,968	3%	716,192	7%	749,638	658,966	16%	463,424	65%
- OP margin	60.3%	56.5-58.5%	58.7%	167bps	57.1%	325bps	58.9%	58.1%	224bps	49.6%	1,072bps
Non-op profit	95,827		30,534	214%	41,744	130%	21,394	28,834	232%	29,612	224%
Pre-tax profit	862,430		774,502	11%	757,935	14%	771,032	687,800	25%	493,035	75%
Tax	-155,649		-145,580	7%	-136,735	14%	-154,206	-114,998	35%	-95,542	63%
- Tax rate	18.0%		18.8%	-75bps	18.0%	1bps	20.0%	16.7%	133bps	19.4%	-133bps
Net profit	706,781		630,484	12%	621,201	14%	616,504	572,480	23%	398,273	77%
EPS (NT\$)	27.25		24.33	12%	24.08	13%	23.78	22.08	23%	15.36	77%

Source: Company data, Visible Alpha, LSEG, UBS estimates

Figure 3: Revenue mix by platform

Revenue mix by platform	Q226	Q126	Q425	Q325	Q225	Q125	Q424	Q324	Q224	Q124	Q423	Q323	Q223
Smartphone	22%	26%	32%	30%	27%	28%	35%	34%	33%	38%	43%	39%	33%
HPC	66%	61%	55%	57%	60%	59%	53%	51%	52%	46%	43%	42%	44%
IoT	5%	6%	5%	5%	5%	5%	5%	7%	6%	6%	5%	9%	8%
Auto	4%	4%	5%	5%	5%	5%	4%	5%	5%	6%	5%	5%	8%
Digital consumer electronics	1%	1%	1%	1%	1%	1%	1%	1%	2%	2%	2%	2%	3%
Others	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	3%	4%

Source: Company data, UBS

Figure 4: Wafer revenue mix by technology

Wafer revenue mix by technology	Q226	Q126	Q425	Q325	Q225	Q125	Q424	Q324	Q224	Q124	Q423	Q323	Q223
2nm	3%												
3nm	30%	25%	28%	23%	24%	22%	26%	20%	15%	9%	15%	6%	
5nm	33%	36%	35%	37%	36%	36%	34%	32%	35%	37%	35%	37%	30%
7nm	11%	13%	14%	14%	14%	15%	14%	17%	17%	19%	17%	16%	23%
16/20nm	6%	7%	6%	7%	7%	7%	7%	8%	9%	9%	8%	10%	12%
28nm	6%	7%	6%	7%	7%	7%	6%	7%	8%	8%	7%	10%	11%
40/45nm	2%	3%	3%	3%	3%	3%	3%	4%	5%	5%	4%	6%	7%
65nm	4%	4%	4%	4%	3%	4%	4%	4%	3%	4%	5%	6%	7%
90nm-0.13um	2%	2%	2%	2%	3%	3%	3%	3%	3%	4%	4%	4%	4%
≥0.15um	3%	3%	2%	3%	3%	3%	3%	5%	5%	5%	5%	5%	6%

Source: Company data, UBS

Figure 5: Revisions to our earnings estimates

(NT\$ mn)	New			Old			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	5,465,875	7,676,827	10,044,566	5,287,659	7,322,247	9,501,835	3%	5%	6%
- YoY chg	43%	40%	31%	39%	38%	30%			
Revenue (US\$ mn)	171,894	239,901	313,893	166,945	230,986	299,742	3%	4%	5%
- YoY chg	41%	40%	31%	37%	38%	30%			
Gross profit	3,666,747	5,179,059	6,842,251	3,485,814	4,862,771	6,316,301	5%	7%	8%
- Gross margin	67.1%	67.5%	68.1%	65.9%	66.4%	66.5%			
Operating profit	3,231,064	4,556,077	6,035,870	3,041,982	4,255,781	5,546,744	6%	7%	9%
- Operating margin	59.1%	59.3%	60.1%	57.5%	58.1%	58.4%			
Net profit	2,825,270	3,867,318	5,140,175	2,588,862	3,611,134	4,720,246	9%	7%	9%
- Net margin	51.7%	50.4%	51.2%	49.0%	49.3%	49.7%			
EPS (NT\$)	108.96	149.14	198.23	99.84	139.27	182.04	9%	7%	9%
- YoY chg	64%	37%	33%	51%	39%	31%			

Source: UBS estimates

Figure 6: UBS earnings estimates vs. consensus

(NT\$m)	UBSe			Consensus			Difference		
	2026E	2027E	2028E	2026F	2027F	2028F	2026E	2027E	2028E
Revenue	5,465,875	7,676,827	10,044,566	5,211,050	6,794,805	8,421,664	5%	13%	19%
- YoY chg	43%	40%	31%	239%	30%	24%			
Gross profit	3,666,747	5,179,059	6,842,251	3,442,158	4,478,080	5,536,545	7%	16%	24%
- Gross margin	67.1%	67.5%	68.1%	66.1%	65.9%	65.7%			
Operating profit	3,231,064	4,556,077	6,035,870	2,993,808	3,897,606	4,837,241	8%	17%	25%
- Operating margin	59.1%	59.3%	60.1%	57.5%	57.4%	57.4%			
Net profit	2,825,270	3,867,318	5,140,175	2,496,063	3,363,620	4,196,839	13%	15%	22%
- Net margin	51.7%	50.4%	51.2%	47.9%	49.5%	49.8%			
EPS (NT\$)	108.96	149.14	198.23	101.69	133.08	165.03	7%	12%	20%
- YoY chg	64%	37%	33%	240%	31%	24%			

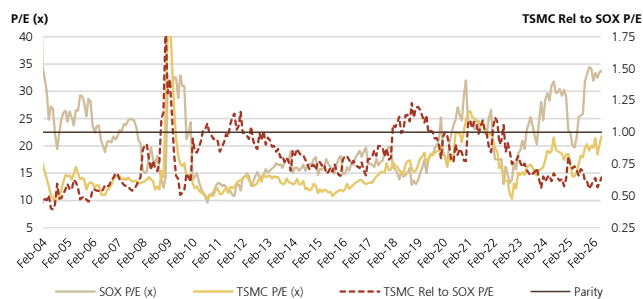
Source: Visible Alpha, UBS estimates

Figure 7: Earnings forecasts

(NT\$ mn)	2025	Q126	Q226E	Q326E	Q426E	2026E	Q127E	Q227E	Q327E	Q427E	2027E	2028E	2029E	2030E
Revenue	3,809,054	1,134,103	1,270,381	1,457,805	1,603,586	5,465,875	1,667,729	1,834,502	2,026,503	2,148,093	7,676,827	10,044,566	12,203,503	14,797,084
- YoY chg (%)	32%	35%	36%	47%	53%	43%	47%	44%	39%	34%	40%	31%	21%	21%
- QoQ chg (%)	-	8%	12%	15%	10%	-	4%	10%	10%	6%	-	-	-	-
Revenue (US\$ mn)	122,031	35,898	40,202	45,556	50,112	171,894	52,117	57,328	63,328	67,128	239,901	313,893	381,359	462,409
- YoY chg (%)	35%	41%	34%	38%	49%	41%	45%	43%	39%	34%	40%	31%	21%	21%
- QoQ chg (%)	-	6%	12%	13%	10%	-	4%	10%	10%	6%	-	-	-	-
Gross profit	2,281,294	751,295	860,311	976,938	1,078,203	3,666,747	1,121,581	1,238,325	1,369,314	1,449,838	5,179,059	6,842,251	8,178,927	9,955,631
- Gross margin	59.9%	66.2%	67.7%	67.0%	67.2%	67.1%	67.3%	67.5%	67.6%	67.5%	67.5%	68.1%	67.0%	67.3%
Operating profit	1,936,092	658,966	766,603	858,004	947,491	3,231,064	989,882	1,091,456	1,201,492	1,273,247	4,556,077	6,035,870	7,222,618	8,798,921
- OP margin	50.8%	58.1%	60.3%	58.9%	59.1%	59.1%	59.4%	59.5%	59.3%	59.3%	59.3%	60.1%	59.2%	59.5%
Non-op profit	105,571	28,834	95,827	22,718	24,082	171,461	24,803	26,160	27,938	31,051	109,952	164,780	257,426	392,231
Pre-tax profit	2,041,663	687,800	862,430	880,721	971,574	3,402,525	1,014,685	1,117,616	1,229,430	1,304,298	4,666,029	6,200,649	7,480,044	9,191,152
Net profit	1,717,883	572,480	706,562	735,183	811,045	2,825,270	847,043	905,050	1,026,355	1,088,870	3,867,318	5,140,175	6,199,840	7,616,825
Reported EPS (NT\$)	66.26	22.08	27.25	28.35	31.28	108.96	32.67	34.90	39.58	41.99	149.14	198.23	239.09	293.74
- YoY chg (%)	46%	58%	77%	63%	60%	64%	48%	28%	40%	34%	37%	33%	21%	23%
- QoQ chg (%)	-	13%	23%	4%	10%	-	4%	7%	13%	6%	-	-	-	-

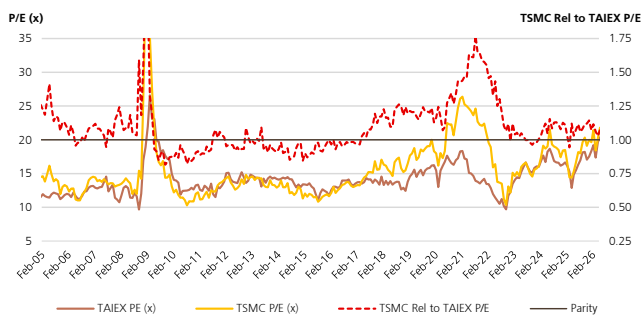
Source: Company data, UBS estimates

Figure 8: TSMC's valuation relative to SOX



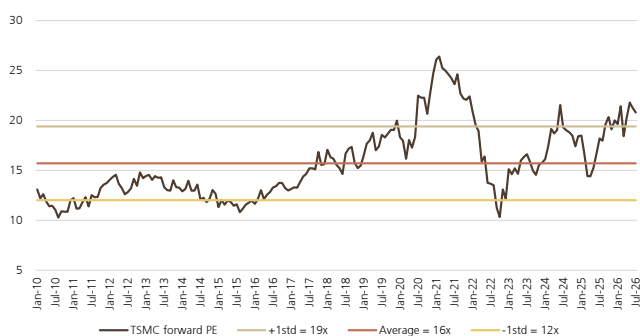
Source: Company data, LSEG, UBS estimates. Note: Monthly data, updated to 30/6/2026

Figure 9: TSMC's valuation relative to TAIEX



Source: Company data, LSEG, UBS estimates. Note: Monthly data, updated to 30/6/2026

Figure 10: TSMC's 12-month forward PE (x)



Source: Company data, LSEG, UBS estimates

Figure 11: TSMC's 12-month forward P/BV (x)



Source: Company data, LSEG, UBS estimates

Taiwan Semiconductor Manufacturing (2330.TW)

Income Statement (NT\$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	2,161,736	2,894,308	3,809,054	5,465,875	43.5	7,676,827	40.5	10,044,566	12,203,503	14,797,084
Gross profit	1,175,111	1,624,354	2,281,294	3,666,747	60.7	5,179,059	41.2	6,842,251	8,178,927	9,955,631
EBITDA (UBS)	1,453,657	1,984,850	2,624,188	4,043,018	54.1	5,617,872	39.0	7,427,103	8,991,321	10,944,050
Depreciation & amortisation	(532,191)	(662,797)	(688,096)	(811,954)	-18.0	(1,061,795)	-30.8	(1,391,234)	(1,768,703)	(2,145,129)
EBIT (UBS)	921,466	1,322,053	1,936,092	3,231,064	66.9	4,556,077	41.0	6,035,870	7,222,618	8,798,921
Associates & investment income	4,655	4,879	5,497	3,523	-35.9	800	-77.3	800	800	800
Other non-operating income	10,704	11,125	13,868	73,095	NM	706	-99.0	706	706	706
Net interest	42,347	67,781	86,206	94,843	10.0	108,446	14.3	163,273	255,920	390,724
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	979,171	1,405,839	2,041,663	3,402,525	66.7	4,666,029	37.1	6,200,649	7,480,044	9,191,152
Tax	(141,404)	(233,407)	(326,266)	(576,276)	-76.6	(797,835)	-38.4	(1,059,598)	(1,279,328)	(1,573,451)
Profit after tax	837,768	1,172,432	1,715,397	2,826,249	64.8	3,868,194	36.9	5,141,051	6,200,716	7,617,701
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	730	836	2,486	(979)	-	(876)	10.5	(876)	(876)	(876)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	838,498	1,173,268	1,717,883	2,825,270	64.5	3,867,318	36.9	5,140,175	6,199,840	7,616,825
Net earnings (UBS)	838,498	1,173,268	1,717,883	2,825,270	64.5	3,867,318	36.9	5,140,175	6,199,840	7,616,825
Tax rate (%)	14.4	16.6	16.0	16.9	6.0	17.1	1.0	17.1	17.1	17.1
Per Share (NT\$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	32.34	45.24	66.24	108.96	64.5	149.14	36.9	198.23	239.09	293.74
EPS (local GAAP, diluted)	32.34	45.24	66.24	108.96	64.5	149.14	36.9	198.23	239.09	293.74
EPS (UBS, basic)	32.34	45.25	66.24	108.96	64.5	149.14	36.9	198.23	239.09	293.74
DPS (net) (NT\$)	13.00	17.00	22.00	29.50	34.1	40.50	37.3	53.00	66.00	76.00
Cash EPS (UBS, diluted) ¹	52.86	70.80	92.77	140.27	51.2	190.09	35.5	251.88	307.30	376.47
Book value per share	133.38	165.36	208.99	293.20	40.3	404.84	38.1	554.06	729.15	949.89
Average shares (diluted)	25,931	25,934	25,934	25,930	0.0	25,930	0.0	25,930	25,930	25,930
Balance Sheet (NT\$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	1,687,644	2,422,020	3,068,595	3,718,872	21.2	4,848,848	30.4	6,674,090	9,530,860	13,831,134
Other current assets	506,388	666,332	748,536	1,367,899	82.7	1,827,773	33.6	2,381,133	2,847,796	3,373,147
Total current assets	2,194,033	3,088,352	3,817,131	5,086,771	33.3	6,676,621	31.3	9,055,223	12,378,656	17,204,282
Net tangible fixed assets	3,064,475	3,234,980	3,691,841	5,013,416	35.8	6,511,621	29.9	8,160,387	9,591,685	10,646,556
Net intangible fixed assets	22,767	26,283	24,953	24,729	-0.9	24,729	0.0	24,729	24,729	24,729
Investments / other assets	251,097	342,323	399,100	549,225	37.6	658,572	19.9	793,513	896,814	1,024,157
Total assets	5,532,371	6,691,938	7,933,024	10,674,140	34.6	13,871,542	30.0	18,033,853	22,891,883	28,899,723
Trade payables & other ST liabilities	904,290	1,204,667	1,321,094	1,758,726	33.1	1,973,386	12.2	2,155,342	2,390,745	2,570,780
Short term debt	9,293	59,858	136,926	167,410	22.3	167,410	0.0	167,410	167,410	167,410
Total current liabilities	913,583	1,264,525	1,458,019	1,926,136	32.1	2,140,796	11.1	2,322,752	2,558,155	2,738,190
Long term debt	913,900	926,605	856,228	815,037	-4.8	805,037	-1.2	795,037	785,037	775,037
Other long term liabilities	221,625	177,233	157,982	288,287	82.5	386,177	34.0	507,043	599,505	713,550
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	2,049,108	2,368,362	2,472,229	3,029,461	22.5	3,332,010	10.0	3,624,832	3,942,696	4,226,777
Common s/h equity	3,458,914	4,288,545	5,419,596	7,602,727	40.3	10,497,579	38.1	14,367,067	18,907,234	24,630,993
Minority interests	24,349	35,031	41,199	41,953	1.8	41,953	0.0	41,953	41,953	41,953
Total liabilities & equity	5,532,371	6,691,938	7,933,024	10,674,140	34.6	13,871,542	30.0	18,033,853	22,891,883	28,899,723
Cash Flow (NT\$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	838,498	1,173,268	1,717,883	2,825,270	64.5	3,867,318	36.9	5,140,175	6,199,840	7,616,825
Depreciation & amortisation	532,191	662,797	688,096	811,954	18.0	1,061,795	30.8	1,391,234	1,768,703	2,145,129
Net change in working capital	324	(90,088)	160	(613,940)	-	(370,214)	39.7	(447,281)	(371,642)	(424,228)
Other operating	(129,046)	80,200	(131,163)	95,636	-	(152,908)	-	(188,726)	(144,445)	(178,093)
Operating cash flow	1,241,967	1,826,177	2,274,976	3,118,921	37.1	4,405,990	41.3	5,895,401	7,452,455	9,159,633
Tangible capital expenditure	(949,113)	(955,112)	(1,271,613)	(2,003,274)	-57.5	(2,560,000)	-27.8	(3,040,000)	(3,200,000)	(3,200,000)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(55,781)	(54,143)	(37,079)	(30,130)	18.7	0	-	0	0	0
Other investing	98,774	144,412	164,299	25,239	-84.6	0	-	0	0	0
Investing cash flow	(906,121)	(864,843)	(1,144,393)	(2,008,165)	-75.5	(2,560,000)	-27.5	(3,040,000)	(3,200,000)	(3,200,000)
Equity dividends paid	(291,722)	(363,055)	(466,779)	(622,380)	-33.3	(803,904)	-29.2	(1,141,026)	(1,478,147)	(1,763,403)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	18,623	(39,111)	(14,014)	58,244	-	97,890	68.1	120,866	92,462	114,045
Change in debt & pref shares	68,204	55,866	40,448	(17,648)	-	(10,000)	43.3	(10,000)	(10,000)	(10,000)
Financing cash flow	(204,894)	(346,301)	(440,345)	(581,784)	-32.1	(716,015)	-23.1	(1,030,160)	(1,395,685)	(1,659,358)
Cash flow inc/(dec) in cash	130,952	615,033	690,238	528,972	-23.4	1,129,976	113.6	1,825,242	2,856,770	4,300,274
FX / non cash items	(4,794)	119,342	(43,662)	121,305	-	0	-	0	0	0
Balance sheet inc/(dec) in cash	126,159	734,375	646,575	650,277	0.6	1,129,976	73.8	1,825,242	2,856,770	4,300,274

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.¹ Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Taiwan Semiconductor Manufacturing (2330.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	16.8	19.7	17.6	22.7	16.6	12.5	10.3	8.4
P/E (UBS, diluted)	16.8	19.7	17.6	22.7	16.6	12.5	10.3	8.4
P/CEPS	10.3	12.6	12.6	17.6	13.0	9.8	8.0	6.6
Equity FCF (UBS) yield %	2.1	3.8	3.3	1.7	2.9	4.5	6.6	9.3
Dividend yield (net) %	2.4	1.9	1.9	1.2	1.6	2.1	2.7	3.1
P/BV	4.1	5.4	5.6	8.4	6.1	4.5	3.4	2.6
EV/revenues (core)	6.1	7.6	7.4	NM	7.9	5.9	4.6	3.6
EV/EBITDA (UBS core)	9.1	11.0	10.8	15.2	10.8	8.0	6.3	4.9
EV/EBIT (core)	14.4	16.6	14.6	19.0	13.3	9.8	7.9	6.0
EV/OpFCF (core)	9.8	12.2	11.4	19.0	12.1	8.8	6.8	5.2
EV/op. invested capital	5.6	8.2	9.5	15.6	10.9	7.9	6.1	4.9
Enterprise value (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	14,093,810	23,107,982	30,242,408	64,053,338	64,053,338	64,053,338	64,053,338	64,053,338
Net debt (cash)	(736,143)	(1,100,004)	(1,755,499)	(2,405,933)	(3,306,413)	(4,794,022)	(7,145,028)	(10,733,550)
Buy out of minorities	24,349	35,031	41,199	41,953	41,953	41,953	41,953	41,953
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	13,382,016	22,043,009	28,528,108	61,689,357	60,788,878	59,301,269	56,950,263	53,361,741
Non core assets	(129,442)	(149,040)	(172,370)	(228,087)	(228,390)	(228,693)	(228,995)	(229,298)
Core enterprise value	13,252,574	21,893,968	28,355,738	61,461,270	60,560,488	59,072,576	56,721,268	53,132,443
Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(4.5)	33.9	31.6	43.5	40.5	30.8	21.5	21.3
EBITDA (UBS)	(6.7)	36.5	32.2	54.1	39.0	32.2	21.1	21.7
EBIT (UBS)	(17.8)	43.5	46.4	66.9	41.0	32.5	19.7	21.8
EPS (UBS, diluted)	(17.5)	39.9	46.4	64.5	36.9	32.9	20.6	22.9
Net DPS	18.2	30.8	29.4	34.1	37.3	30.9	24.5	15.2
Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	54.4	56.1	59.9	67.1	67.5	68.1	67.0	67.3
EBITDA margin	67.2	68.6	68.9	74.0	73.2	73.9	73.7	74.0
EBIT (UBS) margin	42.6	45.7	50.8	59.1	59.3	60.1	59.2	59.5
Net earnings (UBS) margin	38.8	40.5	45.1	51.7	50.4	51.2	50.8	51.5
ROIC (EBIT)	38.6	49.6	65.1	NM	NM	NM	NM	NM
ROIC post tax	33.0	41.4	54.6	68.0	68.0	67.2	64.3	67.2
ROE (UBS)	26.2	30.3	35.4	43.4	42.7	41.3	37.3	35.0
Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(0.5)	(0.7)	(0.8)	(0.7)	(0.7)	(0.8)	(1.0)	(1.2)
Net debt / total equity %	(21.9)	(33.2)	(38.0)	(35.8)	(36.8)	(39.6)	(45.3)	(52.2)
Net debt / (net debt + total equity) %	(28.1)	(49.7)	(61.3)	(55.8)	(58.2)	(65.7)	(82.7)	NM
Net debt/EV %	(5.5)	(5.0)	(6.2)	(3.9)	(5.4)	(8.1)	(12.5)	(20.1)
Capex / depreciation %	178.3	144.1	184.8	NM	NM	NM	180.9	149.2
Capex / revenue %	NM	NM	NM	NM	NM	NM	26.2	21.6
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	2.5	2.7	3.0	3.7	3.7	3.7	3.6	3.9
Div. payout ratio (UBS) %	40.2	37.6	33.2	27.1	27.2	26.7	27.6	25.9
Revenues by division (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Wafer revenue	1,882,518	2,514,461	3,272,553	4,637,388	6,490,858	8,476,427	10,255,045	12,434,525
Others	279,218	379,846	536,501	828,487	1,185,969	1,568,139	1,948,458	2,362,560
Others	0	1	0	0	0	0	0	(1)
Total	2,161,736	2,894,308	3,809,054	5,465,875	7,676,827	10,044,566	12,203,503	14,797,084
EBIT (UBS) by division (NT\$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	921,466	1,322,053	1,936,092	3,231,064	4,556,077	6,035,870	7,222,618	8,798,921
Total	921,466	1,322,053	1,936,092	3,231,064	4,556,077	6,035,870	7,222,618	8,798,921

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	47.8%
Forecast dividend yield	1.3%
Forecast stock return	49.0%
Market return assumption	6.3%
Forecast excess return	42.7%

Company Description

Taiwan Semiconductor Manufacturing (TSMC) is the world's leading dedicated foundry service provider, with annual capacity of about 32m of 8-inch equivalent wafers as of end-2024. It operates four 12-inch wafer fabs, four 8-inch wafer fabs and one 6-inch wafer fab in Taiwan. TSMC also manages two 8-inch fabs and one 12-inch fab overseas under wholly owned subsidiaries WaferTech in the US, and TSMC China and TSMC Nanjing in China.

Valuation Method and Risk Statement

We base our price target for TSMC on a PE multiple.

We think TSMC faces a variety of risks, including rapidly changing technology, intense competition, high capital investment and cyclical demand. TSMC also has a history of paying stock options to its employees, which could dilute earnings.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at <https://neo.ubs.com/quantitative>, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Taiwan Semiconductor Manufacturing

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher, 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of: (1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:**Forecast Stock Return (FSR)** is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:**UK and European Investment Fund ratings and definitions are:** **Buy:** Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

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UBS AG, Singapore Branch: Nicolas Gaudois. **UBS Securities Pte. Ltd., Taipei Branch:** Christine Chen, CFA, Randy Abrams, Ryan Sun, Sunny Lin.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Taiwan Semiconductor Manufacturing ^{16,28}	2330.TW	Buy	NT\$2,470	16 Jul 2026

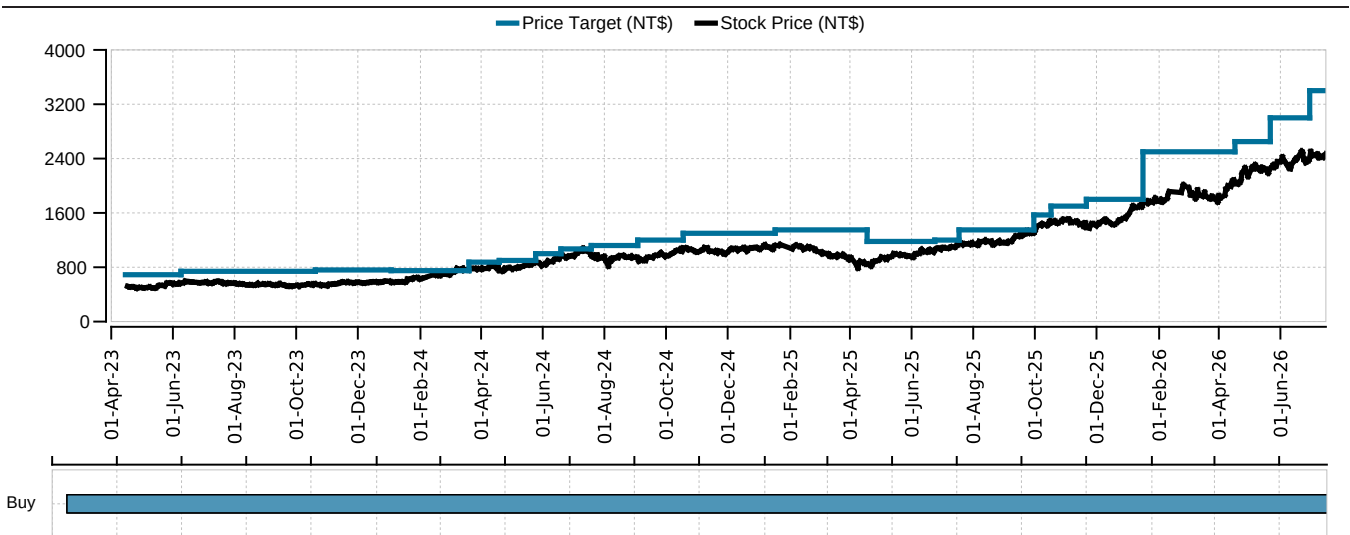
Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

16. UBS Securities LLC makes a market in the securities and/or ADRs of this company.

28. UBS holds a short position of 0.5% or more of the listed shares of this company.

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Taiwan Semiconductor Manufacturing (NT\$)



Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2023-04-14	516.00	690.00	Buy
2023-06-08	559.00	740.00	Buy
2023-10-19	546.00	760.00	Buy
2024-01-02	593.00	750.00	Buy
2024-03-19	762.00	875.00	Buy
2024-04-18	804.00	900.00	Buy
2024-05-24	867.00	1000.00	Buy
2024-06-18	943.00	1070.00	Buy
2024-07-18	1005.00	1120.00	Buy
2024-09-02	948.00	1200.00	Buy
2024-10-17	1035.00	1300.00	Buy
2025-01-16	1105.00	1350.00	Buy
2025-04-17	847.00	1180.00	Buy
2025-06-23	1020.00	1200.00	Buy
2025-07-17	1130.00	1350.00	Buy
2025-09-29	1300.00	1570.00	Buy
2025-10-16	1485.00	1700.00	Buy
2025-11-20	1455.00	1800.00	Buy

Date	Stock Price (NT\$)	Price Target (NT\$)	Rating
2026-01-15	1690.00	2500.00	Buy
2026-04-16	2085.00	2650.00	Buy
2026-05-21	2230.00	3000.00	Buy
2026-06-29	2370.00	3400.00	Buy

Source: UBS Global Research; LSEG Eikon as of 16-Jul-2026. All prices as of local market close. Ratings as of date shown.

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